May/June 2022 Paper 02

Question 1

Joanne wants to set up a cosmetic store in her community and therefore needs to collect data to determine the feasibility of this type of business.

1(a) Research data

(a) (i) Identify the TWO main types of research data she would need to gather in order to establish the business. (2 marks); (ii) State ONE source of EACH type of data identified in (a)(i). (2 marks)

(a)(i) TWO main types of research data

- Primary data, which is information collected first-hand by Joanne for the specific purpose of her cosmetic store study.
- Secondary data, which is information that has already been collected and published by someone else for another purpose.

(a)(ii) ONE source of EACH type

Source of primary data

Joanne can carry out a questionnaire or survey of women and men living in her community, asking them about the cosmetics they use, how often they buy and how much they are willing to spend. The information she gathers directly from these potential customers is a primary source.

Source of secondary data

Joanne can use published reports from the country's Statistical Institute, trade magazines or websites of major cosmetic suppliers to find information on industry sales trends and population data. This is secondary data because it was originally produced by other organisations.

1(b) Reasons to set up her own business

(b) State FOUR reasons why Joanne may want to set up her own business. (4 marks)

- To be her own boss, so that she can make all the decisions about how the cosmetic store is run.
- To earn profits for herself rather than a fixed salary working for another employer.
- To gain independence and the personal satisfaction of building something of her own.
- To create employment for herself and other members of her community, helping the local economy to develop.

1(c) Steps in setting up the cosmetic business

(c) Outline THREE steps that Joanne must take in setting up the cosmetic business. (6 marks)

Conduct market research and prepare a business plan

Joanne should first study the demand for cosmetics in her community, the competition and the prices customers are willing to pay. She must then put her findings together in a written business plan that sets

out her objectives, target market, marketing plan and financial projections, which will guide her decisions and support any loan application.

Register the business and obtain the necessary licences

Joanne must register the name of her business with the Companies Office or relevant authority and apply for any trade licences and tax registration numbers required to operate legally. She should also check zoning rules to make sure that a cosmetic store is allowed at the chosen location.

Secure premises, finance and stock

Joanne needs to find a suitable location with good customer traffic, arrange the start-up capital from her own savings and a bank loan if needed, and then order opening stock from cosmetic suppliers. She must also fit out the store with shelves, lighting and a point-of-sale system before opening her doors to the public.

1(d) Short-term and long-term planning

(d) Explain ONE benefit of short-term planning and ONE benefit of long-term planning to the successful operations of a business. (6 marks)

Benefit of short-term planning

Short-term planning, which usually covers a period of up to one year, helps the business to manage its day-to-day and weekly operations smoothly. For example, a cosmetic store can plan its monthly stock orders, weekly staff rosters and short promotional campaigns so that the right products are on the shelves and the right number of workers are on duty when customers come in. This keeps costs under control and reduces problems such as running out of popular items.

Benefit of long-term planning

Long-term planning, which usually covers three to five years or more, helps the business to set a clear direction for growth and to prepare for major changes in the market. For example, the cosmetic store can plan to open a second branch, invest in an online sales platform or develop its own brand of products. By thinking ahead, the owner can save up the needed capital, train staff and build relationships with suppliers, so that the business is ready to take advantage of new opportunities and to face future competition.

Question 2

2(a) Simple and specialty contracts

(a) (i) Define the term 'simple contract'. (2 marks); (ii) Describe the THREE characteristics of a specialty contract. (6 marks)

(a)(i) Definition of simple contract

A simple contract is an agreement between two or more parties that does not have to be made under seal. It can be made orally, in writing or even implied by the conduct of the parties, and it is enforceable in court once the basic elements of offer, acceptance, consideration and intention to create legal relations are present.

(a)(ii) THREE characteristics of a specialty contract

It must be in writing

A specialty contract, also known as a deed, must always be put down in writing. An oral specialty contract is not valid, because the formal nature of this type of agreement requires that the terms be set out clearly on paper.

It must be signed, sealed and delivered

The parties must sign the document, attach a seal (often a small red sticker or an official stamp) and then deliver or hand it over to the other party. This formality shows that both sides have given the agreement careful thought.

Consideration is not strictly required

Unlike a simple contract, a specialty contract does not need consideration (something of value passing between the parties) in order to be enforceable. The formality of the deed itself, with its signing and sealing, is enough to make it binding in law.

2(b) Offer and counteroffer

(b) Outline what is meant by EACH of the following conditions of offer and acceptance relating to a contract: (i) Offer (2 marks); (ii) Counteroffer (2 marks)

(b)(i) Offer

An offer is a clear and definite statement by one party (the offeror) showing the willingness to enter into a contract on stated terms with another party (the offeree), so that once the offer is accepted as it stands, a binding agreement is formed. For example, a seller saying 'I will sell you my car for forty thousand dollars' is making an offer.

(b)(ii) Counteroffer

A counteroffer is a response by the offeree that does not simply accept the original offer but instead changes one or more of its terms, such as the price, quantity or delivery date. A counteroffer cancels the original offer and becomes a new offer that the original offeror may either accept or reject. For example, if the buyer replies 'I will give you thirty-five thousand dollars instead', that is a counteroffer.

2(c) Termination of a contract

(c) Briefly explain ONE way in which a contract may be terminated or discharged. (2 marks)

Discharge by performance

A contract is terminated by performance when both parties fully carry out the duties they agreed to under the contract. For example, when a seller delivers the agreed goods and the buyer pays the full price as agreed, the contract is completed and discharged.

2(d) The Doris and Mark scenario

(d) Doris offers to sell Mark one of her cars. She intends to sell him the red five-year-old Tomato Excel but Mark thinks she is selling him the yellow three-year-old Scotch Bonnet Deluxe, which he told Doris he liked very much. Mark sends his mechanic to check the car. The mechanic returns and tells him that the car is in very good working condition. Mark pays Doris for the car by way of a manager's cheque.

However, when the car is delivered, it is the Tomato Excel instead of the Scotch Bonnet Deluxe. Mark is convinced that Doris tricked him and plans to sue her.

(d)(i) Legal term

(i) State the legal term used to describe the situation that has occurred between Doris and Mark. (1 mark)

The legal term used to describe this situation is mistake, more specifically a mutual mistake about the subject matter of the contract, because each party had a different car in mind when the agreement was made.

(d)(ii) Actions to prevent the situation

(ii) Suggest THREE actions that could have been taken by either Doris or Mark to prevent this situation from occurring. (3 marks)

- They could have put the agreement in writing, clearly stating the make, model, colour, year and registration number of the specific car being sold.
- Mark could have viewed the actual car himself, instead of sending only the mechanic, so that he could confirm it was the Scotch Bonnet Deluxe before paying.
- Doris could have shown Mark photographs or the registration documents of the exact car she intended to sell, so that any confusion would have been spotted before money changed hands.

(d)(iii) Settlement without legal action

(iii) Recommend TWO ways in which the situation could be settled without Mark taking legal action. (2 marks)

Negotiation between the parties

Doris and Mark can sit down and talk through what happened. Doris can agree to take back the Tomato Excel, refund Mark's money and, if she is willing, sell him the Scotch Bonnet Deluxe at the agreed price instead.

Mediation by a neutral third party

If they cannot reach agreement on their own, they can ask a trusted mutual friend, a community justice officer or a professional mediator to listen to both sides and help them work out a fair solution, such as a partial refund and an apology, without going to court.

Question 3

Cottage and linkage industries play a vital role in the economic development of Caribbean economies.

3(a) Cottage industries

(a) (i) List FOUR characteristics of cottage industries. (4 marks); (ii) State TWO examples of products manufactured by cottage industries in the Caribbean. (2 marks)

(a)(i) FOUR characteristics of cottage industries

- They are small in scale, usually run as a family business from the home of the owner.

- They use a small amount of capital and rely mainly on simple tools and manual labour rather than heavy machinery.
- They employ few workers, often just members of the family or a few people from the local community.
- They produce handmade goods in small quantities, often based on traditional skills passed down through generations.

(a)(ii) TWO examples of cottage industry products

- Handmade craft items such as straw hats, baskets and woven bags.
- Locally produced jams, jellies, pepper sauces and baked goods.

3(b) Tourism stakeholders and cottage production

(b) Outline ONE way in which stakeholders in the tourism industry may benefit from cottage production. (2 marks)

Authentic Caribbean products for visitors

Hotels, gift shops and tour operators can source unique, locally made craft items, sauces and souvenirs from cottage producers and sell them to tourists. This gives visitors an authentic Caribbean experience, raises the appeal of the destination and provides extra income for both the tourism stakeholders and the cottage producers.

3(c) Primary vs secondary production

(c) Differentiate between 'primary production' and 'secondary production', stating ONE example of EACH. (4 marks)

Primary production

Primary production involves the extraction or harvesting of natural resources directly from the earth, sea or air, before any further processing takes place. An example is sugar cane farming in Jamaica or fishing off the coast of Guyana.

Secondary production

Secondary production involves taking the raw materials produced at the primary stage and processing or manufacturing them into finished or semi-finished goods. An example is turning sugar cane into refined sugar and rum at a sugar factory, or processing fish into canned tuna.

3(d) Increased capital and business growth

(d) Outline ONE benefit of increased capital on the growth of a business. (2 marks)

Ability to expand operations and raise output

With more capital, the business can buy additional machinery, larger premises and more raw materials, and it can hire and train more workers. This allows it to produce more goods or serve more customers, take advantage of economies of scale and grow its sales and profits.

3(e) Linkage industries and economic development

(e) Explain TWO ways in which linkage industries assist in the economic development of a country. (6 marks)

Greater use of local raw materials and reduced imports

Linkage industries connect different sectors so that the output of one becomes the input of another. For example, when a tomato ketchup factory buys its tomatoes from local farmers, more local agricultural produce is used and fewer raw materials need to be imported. This saves foreign exchange, supports farming families and creates a stronger, more self-reliant economy.

Job creation and broader industrial base

When industries are linked, growth in one industry creates demand for goods and services from another, leading to new jobs in farming, transport, packaging, marketing and retail. As more industries are developed alongside each other, the country becomes less dependent on a single sector such as tourism or sugar, which makes the economy more stable and supports long-term development.

Question 4

4(a) Distribution chain

(a) (i) Identify the TWO missing links in the distribution chain shown in Figure 1. (2 marks); (ii) Describe the function of any TWO links in the distribution chain in Figure 1. (4 marks)

(a)(i) TWO missing links

- A: Manufacturer, who creates the product.
- B: Retailer, who buys goods from the wholesaler in smaller quantities and sells them directly to the final consumer.

(a)(ii) Function of any TWO links

Producer (manufacturer)

The producer is the link that actually creates the goods or grows the raw materials. The producer organises factors of production such as land, labour and capital, manufactures the product in large quantities and then makes it available to the next link in the chain, usually the wholesaler.

Retailer

The retailer is the link closest to the consumer. The retailer buys goods from wholesalers or directly from producers, breaks them down into the small quantities that individuals want, displays them in a shop and offers services such as advice, credit and after-sales support, making it convenient for consumers to buy.

4(b) Technology in logistics and supply chain

(b) List FOUR forms of technology utilized in logistics and supply chain operations. (4 marks)

- Barcode and QR code scanning systems used to track items as they move through warehouses and stores.
- Global Positioning System (GPS) and vehicle tracking software used to monitor the location of trucks, ships and shipments in real time.

- Electronic Data Interchange (EDI) and supply chain management software used to send orders, invoices and shipping notices between firms electronically.
- Radio Frequency Identification (RFID) tags and automated warehouse systems used to identify, count and move stock with little human input.

4(c) Benefits of IT to logistics

(c) Outline TWO benefits of information technology to logistics and supply chain operations. (4 marks)

Faster and more accurate flow of information

Information technology allows orders, invoices and shipping details to be sent instantly between suppliers, carriers and customers through computer systems and the internet. This cuts down on paperwork, reduces errors and lets each part of the supply chain respond quickly to changes in demand.

Better tracking and lower costs

By using GPS, barcoding and inventory management software, firms can see exactly where goods are at every point in the supply chain. This reduces losses from theft and misplacement, allows the firm to keep stock levels low and helps it to plan transport routes that save fuel and time.

4(d) Alex importing exotic foods

(d) Alex is in the business of importing exotic food items for several local restaurants and hotels on the island.

(d)(i) TWO problems Alex may encounter

(i) Identify TWO problems that he may likely encounter when obtaining foods from his various distributors around the world. (2 marks)

- Spoilage and damage of perishable food items during long transport journeys.
- Delays caused by customs clearance, port congestion and strict food import regulations.

(d)(ii) Measures to reduce or prevent each problem

(ii) For EACH problem identified in (d)(i), outline ONE measure which could be implemented to reduce or prevent its occurrence. (4 marks)

Measure for spoilage and damage

Alex should ship the goods in temperature-controlled (refrigerated) containers and use sturdy, well-sealed packaging that is suitable for each type of food. He should also take out adequate insurance and use reliable carriers with cold-chain expertise, so that any goods that do spoil are covered and the risk of damage is greatly reduced.

Measure for customs and regulatory delays

Alex should employ a qualified customs broker and prepare all the required import permits, phytosanitary certificates and invoices well in advance of each shipment. By keeping good records and building a relationship with the customs authorities, his goods can be cleared faster and the risk of long delays is reduced.

Question 5

5(a) Unemployment

(a) (i) Define the term 'unemployment'. (2 marks); (ii) List THREE different types of unemployment. (3 marks); (iii) Outline ONE way in which a government can assist in reducing unemployment in its country. (2 marks)

(a)(i) Definition of unemployment

Unemployment refers to the situation in which people who are willing and able to work, and who are actively looking for jobs, are unable to find paid employment. It is usually measured as the percentage of the labour force that is out of work at a given time.

(a)(ii) THREE types of unemployment

- Structural unemployment, caused by a mismatch between the skills workers have and the skills employers need.
- Frictional unemployment, where workers are between jobs while they search for a better position.
- Seasonal unemployment, where workers in industries such as tourism or sugar cane harvesting are out of work during the off-season.

(a)(iii) ONE way government can reduce unemployment

Provide training programmes and incentives for businesses

The government can run technical and vocational training programmes that retrain unemployed workers in skills that are in demand, such as information technology, construction and tourism services. At the same time, by giving tax breaks and grants to businesses that hire and train new workers, the government encourages firms to expand and create more jobs.

5(b) Migration

(b) (i) State THREE reasons why Caribbean nationals migrate to countries outside of the region. (3 marks); (ii) Outline ONE negative effect on Caribbean countries when their citizens migrate. (2 marks)

(b)(i) THREE reasons Caribbean nationals migrate

- To find better-paid jobs and improved economic opportunities than those available at home.
- To pursue higher education at universities and colleges abroad that offer programmes not available in the region.
- To join family members who already live overseas, or to escape from natural disasters and high crime rates.

(b)(ii) ONE negative effect of migration

Loss of skilled workers (brain drain)

When doctors, teachers, engineers and other skilled professionals leave the Caribbean for North America or Europe, the region loses workers it has spent years and large amounts of public money training. This causes shortages in key sectors such as health and education, lowers productivity and slows economic development at home.

5(c) Foreign investment

(c) (i) Define the term 'foreign investment'. (2 marks); (ii) Explain TWO ways in which foreign investment could have a positive impact on Caribbean countries. (6 marks)

(c)(i) Definition of foreign investment

Foreign investment is the placing of money or other resources by a person or company from one country into business activities in another country, with the aim of earning a return. It includes both direct investment, such as building factories or hotels, and portfolio investment, such as buying shares and bonds in local companies.

(c)(ii) TWO positive impacts of foreign investment

Job creation and inflow of capital

When foreign companies build hotels, factories and call centres in the Caribbean, they bring in money that the region's own savings could not easily provide. They hire local workers as managers, technicians and support staff, which reduces unemployment and raises household incomes. The wages spent by these new employees in shops and on services then create even more jobs throughout the economy.

Transfer of technology, skills and access to wider markets

Foreign investors usually bring modern equipment, advanced production methods and management know-how that local firms can learn from. Workers in foreign-owned firms gain valuable training and experience, and many use these skills later to start or strengthen their own businesses. Foreign companies also link the Caribbean to wider international markets, since they often export part of their output to the parent company's home country and beyond, earning the region much-needed foreign exchange.